Part 1: Why Budgeting Matters

A budget is a simple plan for your money. It tells you where your income goes each month, so that nothing important is forgotten.

Start by writing down your income and your fixed costs, such as rent, transport and school fees. What remains is the money you can plan for food, savings and extras.

Review your budget once a week. Small adjustments made early are much easier than big changes made when money runs short.

Part 2: Building Savings

Try to save a small amount from every payment before you spend anything else. Even a modest amount grows into a useful safety fund over time.

Keep your emergency savings separate from your daily spending money. This makes it easier to leave it untouched until you truly need it.

Set a clear goal for your savings, such as three months of basic expenses. A clear goal makes it easier to stay motivated.

Part 3: Avoiding Common Mistakes

Avoid borrowing for things you do not need. Before taking any loan, compare the total cost, and make sure you understand the repayment schedule.

Keep records of your spending, even if it is only a short note on your phone. Records help you notice habits and find easy ways to save.